

Industry & Competitive Analysis

Industry Overview

Central Depository Services (India) Limited (CDSL) operates in India's Financial Services sector, within the Capital Markets / Depository Services industry. It is a regulated market infrastructure institution that enables electronic holding, transfer and settlement of securities.

Area	Overview
Established	1999
Industry	Capital Markets / Depository Services
Core role	Electronic custody, transfer and settlement of securities
Major services	Demat services, dematerialisation/rematerialisation, settlement, issuer services, e-voting, CAS, KYC and repositories
Direct competitor	NSDL, the only other SEBI-registered depository
Industry structure	Highly regulated, concentrated two-player market

Industry scale and growth

The workbook indicates rapid expansion in India's demat ecosystem, from approximately 19.1 crore accounts in March 2025 to 22.5 crore in March 2026 and approximately 25.7 crore by June 2026. This growth reflects increasing retail participation, digitisation and financialisation of household savings.

Revenue model

- Transaction charges, particularly on debit and transfer activity in demat accounts.
- Annual custody / maintenance charges paid by issuers.
- Value-added services such as KYC, e-voting, issuer services and digital repositories provide additional diversification.

Industry assessment: structurally attractive, with high barriers to entry and long-term growth linked to India's expanding capital-market participation.

Competitive Landscape

CDSL and NSDL form a near-duopoly in India's depository market. The competitive distinction is primarily one of customer mix and scale: CDSL has a dominant retail demat-account position, while NSDL has a stronger institutional orientation and wider service-centre footprint.

Factor	CDSL	NSDL	Relative position
Market share	~80%+ of demat accounts	~20% of demat accounts	CDSL
Investor accounts	18.83 crore	4.62 crore active client accounts	CDSL
Geographic presence	212 live-connected branches, 331 locations, 116 cities/towns	57,011 DP service centres, 2,060 cities/towns	NSDL

Distribution	588 DPs, 19,752 DP locations	319 DPs, 57,011 DP service centres	NSDL
Product range	Depository, e-voting, KYC, insurance repository, MF services, etc.	Depository, e-voting, KYC, payments bank, database management, etc.	NSDL
Brand positioning	Strong retail/investor franchise	Strong institutional/capital-market franchise	NSDL slight edge
Pricing power	Strong, but regulation constrained	Strong, but regulation constrained	Tie

Competitive interpretation

CDSL's strongest competitive asset is its enormous retail network. A larger account base can spread technology and infrastructure costs over more users, while a broad DP network reinforces distribution and customer reach. NSDL retains meaningful strengths in institutional relationships, custody value and physical service-centre coverage.

Overall, the competitive landscape favours CDSL in retail scale, while NSDL remains a credible and strategically important competitor. The absence of additional direct depository competitors materially reduces competitive fragmentation.

Financial Benchmarking

The supplied workbook's FY24–FY26 financial comparison shows CDSL ahead of NSDL on revenue, EBITDA, profitability, returns on capital and operating cash flow. Both businesses are effectively debt-free, reinforcing their asset-light infrastructure characteristics.

Metric	CDSL FY24	CDSL FY25	CDSL FY26	NSDL FY24	NSDL FY25	NSDL FY26
Revenue (₹ Cr)	₹641.0	₹848.2	₹960.5	₹473.1	₹618.6	₹704.7
Revenue growth	—	32.3%	13.2%	—	30.8%	13.9%
EBITDA (₹ Cr)	₹494.0	₹634.1	₹657.9	₹340.0	₹450.5	₹508.0
Net margin	56.7%	54.5%	48.8%	54.5%	52.0%	51.2%
ROE	34.1%	36.1%	31.3%	18.6%	19.6%	18.7%
ROCE	40.2%	41.8%	36.9%	23.5%	25.4%	24.1%
Debt / Equity	0.0002×	0.0017×	0.0010×	~0.00×	~0.00×	~0.00×
CFO (₹ Cr)	₹334.3	₹442.8	₹430.7	₹170.1	₹359.8	₹319.4

What the numbers imply

- CDSL FY26 revenue was ₹960.5, versus ₹704.7 for NSDL.
- CDSL FY26 EBITDA was ₹657.9, versus ₹508.0 for NSDL.
- CDSL FY26 net margin was 48.8%, compared with 51.2% for NSDL.
- CDSL FY26 ROE and ROCE were 31.3% and 36.9%, materially above NSDL's 18.7% and 24.1%.
- The main caution is decelerating growth: CDSL revenue growth fell from 32.33% in FY25 to 13.23% in FY26, while margins also moderated.

Industry Drivers + Five Forces

Key industry drivers

Driver	Impact on CDSL	Assessment
Government policy	Financial inclusion, dematerialisation and digital investing expand addressable demand.	Positive
Technology	Critical for high-volume retail processing, resilience and service delivery.	High impact
Demographics	Young, digitally active investors support retail account growth.	Very positive
Interest rates	Can influence risk appetite and market activity.	Mixed / cyclical
Regulation	SEBI rules directly shape operating requirements, settlement and KYC.	Very high impact
Consumer behaviour	IPO participation, retail investing and digital preferences support demand.	Very positive
Commodity prices	Indirect effect through sentiment and corporate/market activity.	Low / indirect
Global competition	Foreign depositories are not direct substitutes for India's domestic infrastructure.	Low

Porter's Five Forces

Force	Rating	Why it matters
Competitive rivalry	Low	Only two major depositories, creating a concentrated market.
Threat of new entrants	Low	SEBI regulation, technology requirements and incumbent scale create high barriers.
Supplier power	Low	Core operations are not dependent on a small set of critical suppliers.
Buyer power	Low–Medium	Large retail scale reduces individual customer dependence, although DPs retain influence.
Threat of substitutes	Low	There is no practical substitute for regulated electronic securities depository infrastructure.

Five Forces conclusion: CDSL operates in an unusually protected competitive environment. Regulation and infrastructure scale constrain new entry, while the two-player structure keeps rivalry manageable.

Competitive Advantage

Scale advantage

CDSL's 18+ crore investor accounts provide substantial operating scale. In a technology-intensive market infrastructure business, scale can improve utilisation of systems and spread fixed infrastructure and compliance costs across a very large user base.

Network effects

The combination of a very large investor base and 588 DPs creates a reinforcing network. More participants increase the usefulness of the depository network, while broader distribution makes the platform more accessible to additional investors.

Regulatory and infrastructure moat

Depository services are embedded in India's regulated market infrastructure. Licensing, compliance, technology resilience and trust requirements make entry difficult for a new competitor. The incumbent scale of CDSL further raises the economic hurdle.

Sustainability of the moat

Advantage	Source	Sustainability
Scale	18+ crore investor accounts and large transaction-processing base	High
Network effects	Large investor and DP ecosystem	High
Regulatory position	SEBI-regulated market infrastructure	High
Retail brand	Dominant presence among retail investors	Medium–High
Financial strength	High margins, ROE/ROCE and negligible leverage	High

The most important feature is reinforcement: scale supports cost efficiency and network breadth, the network supports customer reach, and the regulated infrastructure makes the overall position difficult to replicate. This creates a reasonably sustainable competitive advantage rather than a short-term market-share lead.

SWOT

SWOT analysis

Strengths	Weaknesses
~80%+ demat-account share and 18+ crore investor accounts.	High exposure to Indian capital-market activity.
Strong FY26 ROE of 31.33% and ROCE of 36.93%.	Revenue growth moderated to 13.23% in FY26.
Asset-light model and negligible debt.	Net margin declined from 56.68% in FY24 to 48.75% in FY26.
Opportunities	Threats
Continued demat-account and retail participation growth.	NSDL remains a strong direct competitor.
Financialisation and digitisation of household savings.	Regulatory changes may alter economics or increase compliance requirements.

Expansion of KYC, e-voting, insurance and other digital services.	Cybersecurity or technology failures could damage trust and disrupt market infrastructure.
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Analyst conclusion

If I were an investor choosing between CDSL and NSDL, I would rather own CDSL. The decision is driven less by the size of the industry and more by the quality of CDSL's competitive position. CDSL combines dominant retail market share, a substantially larger investor base, stronger FY26 profitability and returns, negligible leverage and a highly scalable infrastructure model.

The financial comparison is particularly persuasive: CDSL generated higher FY26 revenue and EBITDA than NSDL, while its 48.75% net margin, 31.33% ROE and 36.93% ROCE remained strong despite moderation from earlier years. Its retail franchise also gives it greater direct exposure to the structural expansion of India's demat ecosystem.

The key risk is valuation and growth expectations rather than business fragility. CDSL's revenue growth has slowed, margins have compressed and market activity can be cyclical. In addition, NSDL's institutional strength means CDSL's lead is not equivalent to an absence of competition. Nevertheless, on the evidence in the supplied workbook, CDSL offers the stronger combination of market position, profitability, capital efficiency and structural growth exposure.

Investment preference: CDSL over NSDL